IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH

CA (CAA) No.24/ALD/2021
(Under Sections 60 of the Limited Liability Partnership Act, 2008)

and
In the matter of
Scheme of amalgamation and arrangement

Between

THE SINGH ENGINEERING WORKS LLP, a private limited company converted to LLP on 20.04.2015 under the LLP Act,2008; and having its registered office at Block 38-C, 84/54, Jareeb Chowki, Kanpur- Uttar Pradesh-208003, within the aforesaid jurisdiction.

……Applicant/Transferor LLP

AND

UDBHAWA CONSTRUCTIONS LLP , a private limited company converted to LLP on 10.04.2015 under the LLP Act,2008; and having its registered office at Block 38-C, 84/54, Jareeb Chowki, Kanpur- Uttar Pradesh 208003, within the aforesaid jurisdiction.

……Applicant/Transferee LLP

and

their respective partners and creditors

Date of Hearing: 29.11.2021
Date of Pronouncement:06.12.2021

Coram:

Shri Rajasekhar V. K.	**:**	**Member (Judicial)**
Shri Virendra Kumar Gupta	**:**	**Member (Technical)**

Counsel on Record for the Applicant(s):
Ms. Akshi Kataria, Advocate

ORDER

Per: Virendra Kumar Gupta, Member (Technical)

1. The Court convened by video conference today.

—Sd—

2. The instant application has been filed in the first stage of the proceedings under Section 60 of the Limited Liability Partnership Act, 2008 ("**Act**") for orders and directions with regard to meetings of Designated Partners/Partners and creditors in connection with the Scheme of Arrangement between **The Singh Engineering Works LLP**, being the Applicant No.1 (hereinafter referred to as the **"Transferor LLP"**) named above and **Udbhawa Constructions LLP**, being the Applicant No.2 (hereinafter referred to as the **"Transferee LLP"**) named above and their respective Designated Partners/Partners and creditors. The Scheme provides for amalgamation of the business of the Transferor LLP and vesting of the same with the Transferee LLP from the Appointed Date, viz April 17, 2022 in the manner and on the terms and conditions stated in the said Scheme of Arrangement ("**Scheme**") enclosed as Annexure C to the LLP Application.

3. The Scheme of Amalgamation has been proposed on account of the following rationale:

   (a) Simplification of group structure by eliminating multiple LLP's thus enabling them to work on diversified areas of business through single group of management administration and unlocking of value.

   (b) Cost savings are expected to flow from more focused operational efforts, rationalization, standardization and simplification of business processed, productivity improvements, improved procurement, usage of common resource pool like human resource, administration, finance, accounts, legal, technology and other related functions, leading to elimination of duplication and rationalization of administrative expenses.

   (c) Pursuant to merger, the partners expect heathier and larger balance sheet of the merged entity through joint efforts which in turn may improve the credit profile, thereby enhancing the competitive positioning.

—Sd—

4. It is submitted by Ld. counsel appearing for the Applicants they only have Capital Contribution which is fully paid by the Partners. Further, the Applicants comprise of Designated Partners, Partners and creditors:-

   (a) Applicant No.1: 4 Designated Partners/ Partners and 6 Unsecured Creditors

   (b) Applicant No.2: 2 Designated Partners/ Patrners and 6 Unsecured Creditors

5. It is further submitted that all Designated Partners/Partners and 100% in value of unsecured Creditors of the Applicant No.1 have already given their consent to the Scheme by way of affidavits which are annexed to the application and are enclosed as Annexure A to the Application.

6. It is further submitted that all the Designated Partners/Partners and 100% in value of unsecured Creditors of the Applicant No.2 have already given their consent to the Scheme by way of affidavits which are annexed to the application as Annexure B.

7. Directions are sought accordingly for:

   (a) dispensing with meetings of the Designated Partners/Partners and Unsecured creditors of the Applicant No. 1, who have already given their consent to the Scheme under Section 60 of The Limited Liability Partnership Act,2008; and

   (b) dispensing with meetings of the Designated Partners/Partners and Unsecured creditors of the Applicant No. 2, who have already given their consent to the Scheme under Section 60 of The Limited Liability Partnership Act,2008

8. Upon perusing the records and documents in the instant proceedings and considering the submissions made on behalf of the Applicants, we allow the instant application and make the following orders:-

—Sd—

(a) **Meetings dispensed of Partners/ Designated Partners**: Meetings of the Designated Partners/Partners of the Applicant No.1 and of the Applicant No.2 are dispensed with under Section 60 read with section 62 of The Limited Liability Partnership Act, 2008.

(b) **Meetings dispensed of Creditors**: Meetings of the Unsecured Creditors of the Applicant No.1 and 2 are dispensed with under Section 60 read with section 62 of The Limited Liability Partnership Act, 2008.

9. Notice along with all accompanying documents, including a copy of the Scheme, disclosing necessary details shall also be served on the Central Government, through the Regional Director, Northern Region, Ministry of Corporate Affairs, the Registrar of Companies, Kanpur, Uttar Pradesh, Official Liquidator, Kanpur, Income Tax Department having jurisdiction over the Applicant Company by sending the same by electronic mail or and delivery through special messenger or by post forthwith after the notices are sent to the creditors for filing their representation, if any, within 30 days from the date of the notice. The notice shall specify that representation, if any, should be filed before this Tribunal within 30 days from the date of receipt of the notice with a copy of such representation being simultaneously sent to the advocates of the said Applicant. If no such representation is received by the Tribunal within such period, it shall be presumed that such authorities have no representation to make on the said Scheme of Arrangement.

10. The application being CA (CAA) No. 24/ALD/2021 is disposed of accordingly.

11. Connected company petition be filed within a period of three weeks.

—Sd—

Virendra Kumar Gupta
Member (Technical)

—Sd—

Rajasekhar V.K.
Member (Judicial)

Swati Gupta (LRA)